

Caveat Emptor

Caveat emptor means "let the buyer beware." In real estate, it means that the buyer is responsible for performing due diligence on the property, and the seller isn't responsible for disclosing everything, or for protecting the buyer.

In most states, the seller must proactively disclose any known defects. In **caveat emptor** states, while sellers can't lie outright or actively conceal a problem-and must honestly answer prospective buyers' questions when asked-they aren't obligated to point out the home's flaws or defects to buyers. From a litigation standpoint, a caveat emptor state puts the burden on the buyer to prove that the seller deliberately withheld information or covered up a material defect.

Let's say that a seller knows that the roof leaks in heavy rains. If the property's in a **full seller disclosure** state, the seller must put the buyer on notice that the roof may leak. In a caveat emptor state, the seller doesn't need to say anything unless the buyer directly asks. The seller may not, however, paint over a leaky patch or lie if the buyer asks, "Does the roof ever leak?" Bottom line: Both caveat emptor and full disclosure state buyers should always ask about, investigate, and follow up on any red flags.